



The Home Depot Announces First Quarter Results

ATLANTA, May 18, 2021 -- The Home Depot®, the world's largest home improvement retailer, today reported sales of \$37.5 billion for the first quarter of fiscal 2021, an increase of \$9.2 billion, or 32.7 percent from the first quarter of fiscal 2020. Comparable sales for the first quarter of fiscal 2021 increased 31.0 percent, and comparable sales in the U.S. increased 29.9 percent.

Net earnings for the first quarter of fiscal 2021 were \$4.1 billion, or \$3.86 per diluted share, compared with net earnings of \$2.2 billion, or \$2.08 per diluted share, in the same period of fiscal 2020. For the first quarter of fiscal 2021, diluted earnings per share increased 85.6 percent from the same period in the prior year.

“Fiscal 2021 is off to a strong start as we continue to build on the momentum from our strategic investments and effectively manage the unprecedented demand for home improvement projects,” said Craig Menear, chairman and CEO. “I am proud of the resilience and strength our associates have continued to demonstrate, and I would like to thank them and our supplier partners for their hard work and dedication to our customers.”

The Home Depot will conduct a conference call today at 9 a.m. ET to discuss information included in this news release and related matters. The conference call will be available in its entirety through a webcast and replay at ir.homedepot.com/events-and-presentations.

At the end of the first quarter, the Company operated a total of 2,298 retail stores in all 50 states, the District of Columbia, Puerto Rico, the U.S. Virgin Islands, Guam, 10 Canadian provinces and Mexico. The Company employs approximately 500,000 associates. The Home Depot's stock is traded on the New York Stock Exchange (NYSE: HD) and is included in the Dow Jones industrial average and Standard & Poor's 500 index.

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Certain statements contained herein constitute “forward-looking statements” as defined in the Private Securities Litigation Reform Act of 1995. Forward-looking statements may relate to, among other things, the impact of the COVID-19 pandemic and the related recovery on our business, operations and financial results (which, among other things, may affect many of the items listed below); the demand for our products and services; net sales growth; comparable sales; effects of competition; our brand and reputation; implementation of store, interconnected retail, supply chain and technology initiatives; inventory and in-stock positions; state of the economy; state of the housing and home improvement markets; state of the credit markets, including mortgages, home equity loans and consumer credit; impact of tariffs; issues related to the payment methods we accept; demand for credit offerings; management of relationships with our associates, suppliers and service providers; international trade disputes, natural disasters, public health issues (including pandemics and quarantines, related shut-downs and other governmental orders, and similar restrictions, as well as subsequent re-openings), and other business interruptions that could disrupt supply or delivery of, or demand for, the Company's products or services; continuation or suspension of share repurchases; net earnings performance; earnings per share;



dividend targets; capital allocation and expenditures; liquidity; return on invested capital; expense leverage; stock-based compensation expense; commodity price inflation and deflation; the ability to issue debt on terms and at rates acceptable to us; the impact and expected outcome of investigations, inquiries, claims and litigation, including compliance with related settlements; the effect of accounting charges; the effect of adopting certain accounting standards; the impact of regulatory changes, including changes to tax laws and regulations; store openings and closures; guidance for fiscal 2021 and beyond; financial outlook; and the impact of acquired companies, including HD Supply Holdings, Inc., on our organization and the ability to recognize the anticipated benefits of those acquisitions. Forward-looking statements are based on currently available information and our current assumptions, expectations and projections about future events. You should not rely on our forward-looking statements. These statements are not guarantees of future performance and are subject to future events, risks and uncertainties – many of which are beyond our control, dependent on the actions of third parties, or are currently unknown to us – as well as potentially inaccurate assumptions that could cause actual results to differ materially from our expectations and projections. These risks and uncertainties include, but are not limited to, those described in Item 1A, “Risk Factors,” and elsewhere in our Annual Report on Form 10-K for our fiscal year ended January 31, 2021 and in our subsequent Quarterly Reports on Form 10-Q.

Forward-looking statements speak only as of the date they are made, and we do not undertake to update these statements other than as required by law. You are advised, however, to review any further disclosures we make on related subjects in our periodic filings with the Securities and Exchange Commission.

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THE HOME DEPOT, INC.
CONDENSED CONSOLIDATED STATEMENTS OF EARNINGS
(Unaudited)

	Three Months Ended		
	May 2, 2021	May 3, 2020	% Change
<i>in millions, except per share data</i>			
Net sales	\$ 37,500	\$ 28,260	32.7 %
Cost of sales	24,758	18,635	32.9
Gross profit	12,742	9,625	32.4
Operating expenses:			
Selling, general and administrative	6,374	5,829	9.3
Depreciation and amortization	587	520	12.9
Total operating expenses	6,961	6,349	9.6
Operating income	5,781	3,276	76.5
Interest and other (income) expense:			
Interest and investment income	(6)	(17)	(64.7)
Interest expense	339	324	4.6
Interest and other, net	333	307	8.5
Earnings before provision for income taxes	5,448	2,969	83.5
Provision for income taxes	1,303	724	80.0
Net earnings	<u>\$ 4,145</u>	<u>\$ 2,245</u>	84.6 %
Basic weighted average common shares	1,071	1,073	(0.2)%
Basic earnings per share	\$ 3.87	\$ 2.09	85.2
Diluted weighted average common shares	1,075	1,077	(0.2)%
Diluted earnings per share	\$ 3.86	\$ 2.08	85.6

	Three Months Ended		
	May 2, 2021	May 3, 2020	% Change
Selected Sales Data ⁽¹⁾			
Customer transactions (in millions)	447.2	374.8	19.3 %
Average ticket	\$ 82.37	\$ 74.70	10.3
Sales per retail square foot	\$ 605.60	\$ 466.58	29.8

(1) Selected Sales Data does not include results for the legacy Interline Brands business or results for HD Supply Holdings, Inc.

THE HOME DEPOT, INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(Unaudited)

<i>in millions</i>	May 2, 2021	May 3, 2020	January 31, 2021
Assets			
Current assets:			
Cash and cash equivalents	\$ 6,648	\$ 8,696	\$ 7,895
Receivables, net	3,624	2,610	2,992
Merchandise inventories	19,178	14,989	16,627
Other current assets	1,222	982	963
Total current assets	30,672	27,277	28,477
Net property and equipment	24,673	22,697	24,705
Operating lease right-of-use assets	5,864	5,634	5,962
Goodwill	7,137	2,220	7,126
Other assets	4,221	909	4,311
Total assets	<u>\$ 72,567</u>	<u>\$ 58,737</u>	<u>\$ 70,581</u>
Liabilities and Stockholders' Equity			
Current liabilities:			
Accounts payable	\$ 14,494	\$ 10,056	\$ 11,606
Accrued salaries and related expenses	2,167	1,974	2,463
Current installments of long-term debt	1,164	4,200	1,416
Current operating lease liabilities	803	853	828
Other current liabilities	9,130	6,265	6,853
Total current liabilities	27,758	23,348	23,166
Long-term debt, excluding current installments	34,697	31,622	35,822
Long-term operating lease liabilities	5,279	5,075	5,356
Other liabilities	3,085	2,182	2,938
Total liabilities	70,819	62,227	67,282
Total stockholders' equity (deficit)	1,748	(3,490)	3,299
Total liabilities and stockholders' equity	<u>\$ 72,567</u>	<u>\$ 58,737</u>	<u>\$ 70,581</u>

THE HOME DEPOT, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(Unaudited)

	Three Months Ended	
	May 2, 2021	May 3, 2020
<i>in millions</i>		
Cash Flows from Operating Activities:		
Net earnings	\$ 4,145	\$ 2,245
Reconciliation of net earnings to net cash provided by operating activities:		
Depreciation and amortization	703	607
Stock-based compensation expense	146	88
Changes in working capital	1,301	2,834
Changes in deferred income taxes	(87)	(68)
Other operating activities	102	31
Net cash provided by operating activities	6,310	5,737
Cash Flows from Investing Activities:		
Capital expenditures	(524)	(586)
Other investing activities	(4)	8
Net cash used in investing activities	(528)	(578)
Cash Flows from Financing Activities:		
Repayments of short-term debt, net	—	(974)
Proceeds from long-term debt, net of discounts and premiums	—	4,960
Repayments of long-term debt	(1,390)	(27)
Repurchases of common stock	(3,788)	(791)
Proceeds from sales of common stock	13	18
Cash dividends	(1,775)	(1,611)
Other financing activities	(130)	(125)
Net cash (used in) provided by financing activities	(7,070)	1,450
Change in cash and cash equivalents	(1,288)	6,609
Effect of exchange rate changes on cash and cash equivalents	41	(46)
Cash and cash equivalents at beginning of period	7,895	2,133
Cash and cash equivalents at end of period	\$ 6,648	\$ 8,696